

PRIVACY BY DESIGN: WHY DATA PROTECTION HAS BECOME A CORPORATE GOVERNANCE IMPERATIVE



Introduction

The increasing digitization of business operations in Nigeria has led organizations to collect, process, and store unprecedented amounts of personal data. From financial institutions and telecommunications providers to healthcare and e-commerce platforms, personal information has become a valuable business asset. However, the growing reliance on data has also heightened concerns about privacy, cybersecurity, and regulatory compliance.

Nigeria's data protection framework, particularly the Nigerian Data Protection Act, 2023 (NDPA), imposes significant obligations on organizations that process personal data. The Act defines personal data as any information relating to an identified or identifiable individual.

As organizations become more data-driven, privacy is no longer merely a technical or compliance issue. It has become an important aspect of corporate governance, requiring active oversight by boards and senior management.

Understanding Privacy by Design

Privacy by Design is a proactive approach to data protection that requires privacy considerations to be embedded into systems, products, and business processes from the outset rather than being addressed after problems arise.

At its core, the concept requires organizations to anticipate privacy risks before they occur, protect personal data by default, integrate privacy into decision-making processes, maintain transparency in data handling practices, and ensure that individuals' rights remain central to all data processing activities.

These principles align closely with the NDPA's emphasis on accountability, transparency, security, and lawful processing of personal data.

The Link Between Privacy and Corporate Governance

Corporate governance refers to the framework through which organizations are directed and controlled. It encompasses the systems and processes used by boards and management to oversee operations, manage risks, ensure accountability, and promote sustainable value creation.

Traditionally, corporate governance focused on matters such as financial reporting, regulatory compliance, and operational risk management. However, the growing importance of data in modern business has expanded the scope of governance responsibilities.

Today, personal data is a strategic corporate asset. Privacy failures can expose organizations to regulatory sanctions, litigation, reputational damage, loss of customer confidence, and significant operational disruption. Consequently, boards and senior management are increasingly expected to oversee privacy risks in the same manner as financial and operational risks.

The NDPA and Governance Responsibilities

The NDPA reinforces the need for governance oversight by imposing obligations that extend beyond technical compliance.

Organizations are required to ensure that personal data is processed lawfully, fairly, and transparently while implementing appropriate technical and organizational safeguards to protect such data. The Act's provisions on accountability and data protection governance demonstrate that privacy compliance is not solely the responsibility of IT departments or legal teams. Rather, it is an enterprise-wide responsibility that requires leadership commitment and effective oversight.

Embedding Privacy by Design into Governance Frameworks

To effectively integrate Privacy by Design into corporate governance, organizations must treat privacy as a strategic business issue.

Boards should receive regular updates on privacy risks, compliance efforts, cybersecurity incidents, and emerging regulatory developments. Privacy considerations should also be incorporated into enterprise risk management frameworks, allowing organizations to identify and address vulnerabilities before they result in regulatory or reputational consequences.

Privacy by Design should equally inform the development of products and services. Organizations that assess privacy implications at the design stage are better positioned to determine what data is necessary, how long it should be retained, who should have access to it, and what safeguards

should be implemented. Addressing these issues early reduces compliance risks and strengthens consumer trust.

Managing Third-Party Risks

Privacy governance extends beyond an organization's internal operations. Many businesses rely on third-party service providers for cloud services, payment processing, marketing, and data analytics.

Organizations should therefore conduct appropriate due diligence on vendors that process personal data on their behalf and ensure that adequate contractual safeguards are incorporated into vendor relationships. Effective third-party risk management is an important component of a comprehensive privacy governance framework.

Benefits and Challenges

For Nigerian organizations, the benefits of Privacy by Design extend beyond regulatory compliance. Integrating privacy into governance frameworks can strengthen consumer confidence, reduce exposure to legal and regulatory risks, enhance corporate reputation, and provide a competitive advantage in an increasingly data-conscious marketplace.

Organizations may nevertheless encounter challenges such as limited awareness, resource constraints, legacy systems, and evolving regulatory expectations. These challenges, however, do not diminish the importance of incorporating privacy considerations into governance structures.

Conclusion

As Nigeria's digital economy continues to expand, Privacy by Design is no longer merely a compliance tool; it is a corporate governance imperative. Organizations that integrate privacy into their governance frameworks will be better positioned to manage risk, protect stakeholders, strengthen accountability, and achieve sustainable growth in an increasingly data-driven environment.

AUTHOUR



Ayoola Busola, Associate

C. Egwu Law Firm

oluwabusola.ayoola@cegwulawfirm.com; c.egwu@cegwulawfirm.com

+2347071674471